

CGM Focus (CGMFX) was the highest-return stock fund from 2000 through 2010. It had an average annual return of 18.2%, according to Morningstar, beating its closest rival by 3.4%. During the same time, the fund's typical shareholder lost 10%! Investors, motivated by greed and fear, added heavily to the fund near the top and bailed out as the fund neared its bottom. They poured \$2.6 billion into the fund in 2007 when it was up over 80%. In 2008, when the fund was down 48%, investors redeemed over \$750 million. This is an example of what investors are up against due to their behavioral biases. Remember what Pogo said: "We have met the enemy, and he is us." We need an approach with a modest level of volatility that that will not induce emotional responses that take us out of our investments at the most inopportune times.

Daniel Kahneman (2011) pointed out, "Many individual investors lose consistently by trading, an achievement that a dart-throwing monkey could not match." A disciplined, quantitative approach to investing can reduce the influence of "animal spirits" and help provide consistent results.

We should have a good understanding of relative strength momentum from what we learned in [Chapter 2](#). We saw how relative strength momentum gives investors a disciplined framework to work with. Large market losses, however, can still cause investors to overreact and do foolish things. This can be a problem when using relative momentum, since relative strength does little to reduce downside exposure. Relative momentum may even increase downside volatility. Absolute momentum can help overcome this obstacle, so it is important that we understand it well before moving forward.

UNDERSTANDING ABSOLUTE MOMENTUM

Relative strength compares an asset to its peers in order to predict future performance. In academic research, relative momentum is often the same as cross-sectional momentum, which involves sectioning a universe of individual assets into equal segments and comparing the performance of the strongest segments ("winners") to the performance of the weakest ("losers"). Often testing is done on a market-neutral basis by simultaneously buying "winners" and selling short "losers."